ANNUAL OPERATING BUDGET

Cobalt Data Campus | Nashville, TN

Property	Cobalt Data Campus
Fiscal Year	2022
Submitted By	Elmstead Asset Services
Submitted	February 15, 2026

Annual Operating Budget by Account

Account	Prior Yr Actual	Prior Yr Budget	Current Budget	Variance $	Variance %	Per Unit/SF
5000 Gross Potential Rent	$42,728	$43,535	$46,410	$3,681	8.6%	$1,718.88
5010 Loss to Lease	$47,156	$45,987	$48,188	$1,032	2.2%	$1,784.74
5020 Vacancy Loss	$127,729	$123,346	$131,311	$3,582	2.8%	$4,863.37
5030 Concessions	$148,386	$151,153	$152,849	$4,462	3.0%	$5,661.06
5040 Bad Debt	$114,843	$118,846	$120,066	$5,223	4.5%	$4,446.89
5050 Late Fees	$49,741	$51,114	$54,586	$4,845	9.7%	$2,021.71
5060 Utility Reimbursements	$116,101	$123,099	$125,152	$9,051	7.8%	$4,635.27
5070 Parking Income	$147,775	$153,579	$158,313	$10,538	7.1%	$5,863.46
5080 Application Fees	$91,307	$84,148	$88,374	-$2,933	-3.2%	$3,273.11
5090 Pet Rent	$76,973	$80,230	$81,197	$4,224	5.5%	$3,007.28
5100 Laundry Income	$132,719	$134,809	$138,655	$5,936	4.5%	$5,135.37
5110 Cable/Internet Revenue	$53,757	$51,985	$54,374	$617	1.1%	$2,013.85
5120 CAM Reimbursements	$50,803	$48,414	$49,034	-$1,770	-3.5%	$1,816.06
5130 Tax Reimbursements	$96,486	$96,641	$102,855	$6,370	6.6%	$3,809.45
5140 Insurance Reimbursements	$91,527	$98,089	$103,724	$12,197	13.3%	$3,841.63
5150 Percentage Rent	$154,441	$155,911	$159,317	$4,876	3.2%	$5,900.63
5160 Misc. Income	$129,285	$133,459	$140,637	$11,352	8.8%	$5,208.76
5170 Payroll - Management	$82,899	$85,958	$90,481	$7,582	9.1%	$3,351.13
5180 Payroll - Leasing	$106,816	$105,238	$110,864	$4,048	3.8%	$4,106.09
5190 Payroll - Maintenance	$106,870	$111,082	$118,827	$11,957	11.2%	$4,401.01
5200 Payroll Taxes & Benefits	$90,124	$85,944	$88,143	-$1,981	-2.2%	$3,264.56
5210 Repairs - Plumbing	$81,357	$85,771	$90,977	$9,620	11.8%	$3,369.53

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Annual Operating Budget by Account

Account	Prior Yr Actual	Prior Yr Budget	Current Budget	Variance $	Variance %	Per Unit/SF
5430 Legal & Professional	$64,806	$63,175	$65,672	$866	1.3%	$2,432.28
5440 Accounting & Audit	$64,542	$60,563	$61,733	-$2,809	-4.4%	$2,286.41
5450 Licenses & Permits	$100,942	$98,151	$103,383	$2,441	2.4%	$3,829.01
5460 Management Fee	$136,104	$131,493	$139,386	$3,282	2.4%	$5,162.46
5470 Property Insurance	$46,375	$46,033	$47,837	$1,462	3.2%	$1,771.76
5480 Real Estate Taxes	$47,134	$50,138	$51,965	$4,831	10.3%	$1,924.62
5490 Asset Management Fee	$12,948	$13,192	$14,081	$1,133	8.8%	$521.52
5500 Replacement Reserves	$82,496	$82,454	$87,930	$5,434	6.6%	$3,256.66
5510 Roof Repairs	$41,990	$42,530	$44,332	$2,342	5.6%	$1,641.92
5520 Parking Lot Repairs	$45,547	$48,120	$50,310	$4,762	10.5%	$1,863.33
5530 Signage	$93,177	$100,199	$100,476	$7,300	7.8%	$3,721.34
5540 Tenant Improvements	$133,493	$130,614	$131,400	-$2,093	-1.6%	$4,866.66
5550 Leasing Commissions	$59,623	$62,825	$64,768	$5,145	8.6%	$2,398.81
5000 Gross Potential Rent	$121,815	$121,643	$127,476	$5,661	4.6%	$4,721.34
5010 Loss to Lease	$139,330	$128,675	$130,064	-$9,266	-6.7%	$4,817.19
5020 Vacancy Loss	$82,425	$78,038	$80,157	-$2,269	-2.8%	$2,968.77
5030 Concessions	$21,168	$21,167	$22,344	$1,177	5.6%	$827.57
5040 Bad Debt	$97,809	$105,349	$106,544	$8,735	8.9%	$3,946.08
5050 Late Fees	$15,744	$15,931	$16,393	$649	4.1%	$607.14
5060 Utility Reimbursements	$20,967	$19,389	$20,181	-$786	-3.7%	$747.46
5070 Parking Income	$111,689	$110,366	$111,039	-$650	-0.6%	$4,112.57
5080 Application Fees	$109,869	$106,715	$114,052	$4,183	3.8%	$4,224.15
5090 Pet Rent	$75,743	$81,273	$81,513	$5,770	7.6%	$3,019.01
5100 Laundry Income	$130,550	$139,786	$140,851	$10,301	7.9%	$5,216.70
5110 Cable/Internet Revenue	$130,324	$137,733	$142,862	$12,539	9.6%	$5,291.20
5120 CAM Reimbursements	$125,016	$131,209	$139,842	$14,826	11.9%	$5,179.32
5130 Tax Reimbursements	$58,996	$59,329	$62,395	$3,399	5.8%	$2,310.92
5140 Insurance Reimbursements	$14,632	$14,405	$15,151	$519	3.5%	$561.13
5150 Percentage Rent	$32,245	$32,918	$34,151	$1,905	5.9%	$1,264.83
5160 Misc. Income	$39,108	$40,453	$42,320	$3,212	8.2%	$1,567.41
5170 Payroll - Management	$79,967	$79,556	$82,910	$2,943	3.7%	$3,070.76
5180 Payroll - Leasing	$113,771	$119,978	$122,219	$8,449	7.4%	$4,526.64
5190 Payroll - Maintenance	$51,071	$53,573	$56,837	$5,766	11.3%	$2,105.07
5200 Payroll Taxes & Benefits	$55,306	$52,675	$54,576	-$729	-1.3%	$2,021.35
5210 Repairs - Plumbing	$63,651	$66,018	$67,172	$3,521	5.5%	$2,487.85
5220 Repairs - HVAC	$25,043	$25,862	$26,841	$1,799	7.2%	$994.12
5230 Repairs - Electrical	$114,619	$120,599	$124,155	$9,536	8.3%	$4,598.32
5240 Repairs - Appliances	$113,986	$111,622	$112,926	-$1,061	-0.9%	$4,182.43
5250 Painting & Decorating	$130,134	$140,335	$145,608	$15,475	11.9%	$5,392.90
5260 Flooring	$51,751	$48,144	$51,311	-$440	-0.8%	$1,900.41
5270 Make-Ready / Turnover	$10,706	$10,213	$10,435	-$271	-2.5%	$386.48
5280 Landscaping Contract	$95,010	$95,043	$98,368	$3,358	3.5%	$3,643.26
5290 Snow Removal	$16,833	$17,274	$18,232	$1,399	8.3%	$675.25

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Operating Performance

Effective gross income for the trailing period was $385,000, representing a 11.3% increase over the prior year. The going-in capitalization rate of 5.16% reflects the in-place income and the stabilized occupancy assumption. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Management fees are calculated at 5.4% of collected revenue and are included in operating expenses. On-site infrastructure includes diesel generators, UPS systems, CRAC units and a biometric-controlled security perimeter.

The facility is a purpose-built data center with 7 MW of critical IT load, N+1 power and cooling redundancy, and dual utility feeds. Management fees are calculated at 6.2% of collected revenue and are included in operating expenses. On-site infrastructure includes diesel generators, UPS systems, CRAC units and a biometric-controlled security perimeter. The going-in capitalization rate of 6.36% reflects the in-place income and the stabilized occupancy assumption. Operating expenses totaled $95,000 or approximately 19.19 per square foot, with real estate taxes representing the largest line item.

Property Operations

Collections for the period were 92.3% of billed charges, with bad debt of 3.5% of gross potential income. Service requests are tracked through a work-order system with an average completion time of 19 hours. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. The manager completes a monthly walk of the property and submits a variance report to the owner by the 24th business day.

Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Tenants are billed per kilowatt of contracted capacity with power pass-through at metered cost. Carrier-neutral meet-me room supports multiple fiber providers. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. On-site infrastructure includes diesel generators, UPS systems, CRAC units and a biometric-controlled security perimeter. Service requests are tracked through a work-order system with an average completion time of 7 hours.

Financial Analysis

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Effective gross income for the trailing period was $436,000, representing a 8.8% increase over the prior year. Operating expenses totaled $87,000 or approximately 36.37 per square foot, with real estate taxes representing the largest line item. The facility is a purpose-built data center with 32 MW of critical IT load, N+1 power and cooling redundancy, and dual utility feeds. On-site infrastructure includes diesel generators, UPS systems, CRAC units and a biometric-controlled security perimeter.

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Debt service coverage ratio was 5.29x on a trailing basis against a covenant minimum of 1.20x. The going-in capitalization rate of 6.75% reflects the in-place income and the stabilized occupancy assumption. Net operating income is projected to grow at a compound annual rate of 3.4% over the hold period.

Leasing and Marketing

The facility is a purpose-built data center with 21 MW of critical IT load, N+1 power and cooling redundancy, and dual utility feeds. The manager completes a monthly walk of the property and submits a variance report to the owner by the 45th business day. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 21 additional team members. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Tenants are billed per kilowatt of contracted capacity with power pass-through at metered cost.

Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Service requests are tracked through a work-order system with an average completion time of 33 hours. On-site infrastructure includes diesel generators, UPS systems, CRAC units and a biometric-controlled security perimeter. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. The manager completes a monthly walk of the property and submits a variance report to the owner by the 31th business day. Tenants are billed per kilowatt of contracted capacity with power pass-through at metered cost.

Financial Analysis

Net operating income is projected to grow at a compound annual rate of 3.9% over the hold period. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Operating expenses totaled $284,000 or approximately 30.04 per square foot, with real estate taxes representing the largest line item. The facility is a purpose-built data center with 18 MW of critical IT load, N+1 power and cooling redundancy, and dual utility feeds.

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Annual Operating Budget by Account

Account	Prior Yr Actual	Prior Yr Budget	Current Budget	Variance $	Variance %	Per Unit/SF
5260 Flooring	$54,223	$57,270	$57,614	$3,391	6.3%	$2,133.83
5270 Make-Ready / Turnover	$152,021	$154,902	$160,144	$8,123	5.3%	$5,931.25
5280 Landscaping Contract	$53,362	$56,540	$58,785	$5,423	10.2%	$2,177.23
5290 Snow Removal	$92,681	$91,843	$94,510	$1,829	2.0%	$3,500.39
5300 Janitorial	$93,633	$90,719	$94,542	$910	1.0%	$3,501.57
5310 Pest Control	$19,842	$21,367	$22,494	$2,651	13.4%	$833.10
5320 Trash Removal	$81,537	$81,608	$86,484	$4,947	6.1%	$3,203.11
5330 Elevator Contract	$85,079	$78,784	$81,137	-$3,942	-4.6%	$3,005.06
5340 Fire & Life Safety	$133,527	$130,212	$135,533	$2,006	1.5%	$5,019.74
5350 Security	$85,722	$86,094	$86,198	$476	0.6%	$3,192.52
5360 Electricity - Common	$15,795	$15,375	$16,131	$336	2.1%	$597.45
5370 Gas - Common	$24,082	$25,022	$25,136	$1,053	4.4%	$930.95
5380 Water & Sewer	$14,070	$15,036	$15,988	$1,918	13.6%	$592.16
5390 Telephone/Internet	$158,125	$145,827	$154,723	-$3,401	-2.2%	$5,730.50
5400 Advertising	$23,087	$23,178	$23,653	$566	2.5%	$876.05
5410 Resident Events	$133,059	$143,591	$150,342	$17,282	13.0%	$5,568.21
5420 Office Supplies	$63,259	$62,677	$64,446	$1,186	1.9%	$2,386.88
5430 Legal & Professional	$120,909	$119,860	$123,275	$2,366	2.0%	$4,565.75
5440 Accounting & Audit	$7,260	$6,911	$7,166	-$94	-1.3%	$265.41
5450 Licenses & Permits	$77,857	$80,646	$82,597	$4,740	6.1%	$3,059.14
5460 Management Fee	$63,684	$60,870	$60,886	-$2,798	-4.4%	$2,255.02
5470 Property Insurance	$115,820	$120,953	$122,765	$6,945	6.0%	$4,546.85
5480 Real Estate Taxes	$145,120	$144,802	$145,626	$506	0.3%	$5,393.56
5490 Asset Management Fee	$154,766	$149,423	$151,839	-$2,927	-1.9%	$5,623.67
5500 Replacement Reserves	$56,084	$56,844	$58,406	$2,322	4.1%	$2,163.17
5510 Roof Repairs	$82,967	$88,617	$88,657	$5,690	6.9%	$3,283.59
5520 Parking Lot Repairs	$60,424	$64,412	$67,785	$7,361	12.2%	$2,510.56
5530 Signage	$110,464	$103,612	$109,933	-$530	-0.5%	$4,071.61
5540 Tenant Improvements	$47,665	$45,914	$47,210	-$456	-1.0%	$1,748.50
5550 Leasing Commissions	$127,872	$135,154	$140,358	$12,486	9.8%	$5,198.43
5000 Gross Potential Rent	$84,048	$78,075	$78,736	-$5,313	-6.3%	$2,916.13
5010 Loss to Lease	$147,477	$144,828	$151,581	$4,103	2.8%	$5,614.09
5020 Vacancy Loss	$73,349	$79,108	$79,302	$5,953	8.1%	$2,937.10
5030 Concessions	$142,449	$136,813	$142,405	-$44	-0.0%	$5,274.25
5040 Bad Debt	$7,416	$7,812	$8,167	$752	10.1%	$302.50
5050 Late Fees	$36,834	$34,187	$34,946	-$1,888	-5.1%	$1,294.28
5060 Utility Reimbursements	$18,593	$18,365	$18,975	$381	2.1%	$702.77
5070 Parking Income	$61,951	$61,915	$62,651	$700	1.1%	$2,320.40
5080 Application Fees	$41,846	$39,972	$42,752	$906	2.2%	$1,583.40
5090 Pet Rent	$80,132	$83,685	$84,653	$4,521	5.6%	$3,135.31
5100 Laundry Income	$40,875	$39,983	$40,933	$59	0.1%	$1,516.06

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Financial Analysis

Management fees are calculated at 6.5% of collected revenue and are included in operating expenses. Tenants are billed per kilowatt of contracted capacity with power pass-through at metered cost. Operating expenses totaled $203,000 or approximately 17.04 per square foot, with real estate taxes representing the largest line item. On-site infrastructure includes diesel generators, UPS systems, CRAC units and a biometric-controlled security perimeter. The facility is a purpose-built data center with 46 MW of critical IT load, N+1 power and cooling redundancy, and dual utility feeds.

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The facility is a purpose-built data center with 26 MW of critical IT load, N+1 power and cooling redundancy, and dual utility feeds. The going-in capitalization rate of 8.10% reflects the in-place income and the stabilized occupancy assumption. Operating expenses totaled $213,000 or approximately 11.39 per square foot, with real estate taxes representing the largest line item. Carrier-neutral meet-me room supports multiple fiber providers. Net operating income is projected to grow at a compound annual rate of 5.1% over the hold period.

Property Operations

Collections for the period were 90.9% of billed charges, with bad debt of 7.0% of gross potential income. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 3 additional team members. Service requests are tracked through a work-order system with an average completion time of 22 hours. Carrier-neutral meet-me room supports multiple fiber providers. Tenants are billed per kilowatt of contracted capacity with power pass-through at metered cost.

Service requests are tracked through a work-order system with an average completion time of 37 hours. Carrier-neutral meet-me room supports multiple fiber providers. Tenants are billed per kilowatt of contracted capacity with power pass-through at metered cost. The facility is a purpose-built data center with 48 MW of critical IT load, N+1 power and cooling redundancy, and dual utility feeds.

Income and Expense Review

The facility is a purpose-built data center with 48 MW of critical IT load, N+1 power and cooling redundancy, and dual utility feeds. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Net operating income is projected to grow at a compound annual rate of 7.4% over the hold period. Debt service coverage ratio was 6.44x on a trailing basis against a covenant minimum of 1.20x.

Net operating income is projected to grow at a compound annual rate of 6.3% over the hold period. The facility is a purpose-built data center with 27 MW of critical IT load, N+1 power and cooling redundancy, and dual utility feeds. Tenants are billed per kilowatt of contracted capacity with power pass-through at metered cost. Management fees are calculated at 6.5% of collected revenue and are included in operating expenses. Carrier-neutral meet-me room supports multiple fiber providers. Operating expenses totaled $355,000 or approximately 34.85 per square foot, with real estate taxes representing the largest line item.

Management Commentary

Collections for the period were 95.0% of billed charges, with bad debt of 7.6% of gross potential income. The facility is a purpose-built data center with 24 MW of critical IT load, N+1 power and cooling redundancy, and dual utility feeds. Carrier-neutral meet-me room supports multiple fiber providers. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 15 additional team members. Service requests are tracked through a work-order system with an average completion time of 24 hours.

On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 14 additional team members. On-site infrastructure includes diesel generators, UPS systems, CRAC units and a biometric-controlled security perimeter. Tenants are billed per kilowatt of contracted capacity with power pass-through at metered cost. Collections for the period were 93.5% of billed charges, with bad debt of 6.6% of gross potential income.

Valuation Discussion

On-site infrastructure includes diesel generators, UPS systems, CRAC units and a biometric-controlled security perimeter. Debt service coverage ratio was 6.45x on a trailing basis against a covenant minimum of 1.20x. Net operating income is projected to grow at a compound annual rate of 6.7% over the hold period. Management fees are calculated at 3.3% of collected revenue and are included in operating expenses. Tenants are billed per kilowatt of contracted capacity with power pass-through at metered cost.

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5140 Insurance Reimbursements	$99,013	$106,489	$112,023	$13,010	13.1%	$4,149.01
5150 Percentage Rent	$128,488	$138,550	$147,203	$18,714	14.6%	$5,451.95
5160 Misc. Income	$76,862	$79,840	$83,872	$7,010	9.1%	$3,106.36
5170 Payroll - Management	$51,331	$50,015	$50,667	-$664	-1.3%	$1,876.55
5180 Payroll - Leasing	$75,879	$76,319	$81,556	$5,676	7.5%	$3,020.58
5190 Payroll - Maintenance	$23,688	$24,825	$25,080	$1,391	5.9%	$928.87
5200 Payroll Taxes & Benefits	$87,673	$88,819	$88,952	$1,279	1.5%	$3,294.53
5210 Repairs - Plumbing	$141,976	$149,647	$149,801	$7,825	5.5%	$5,548.19
5220 Repairs - HVAC	$136,230	$145,423	$148,071	$11,840	8.7%	$5,484.10
5230 Repairs - Electrical	$22,234	$23,008	$23,947	$1,713	7.7%	$886.94
5240 Repairs - Appliances	$139,282	$133,518	$135,155	-$4,127	-3.0%	$5,005.74
5250 Painting & Decorating	$120,723	$125,199	$126,870	$6,147	5.1%	$4,698.89
5260 Flooring	$62,504	$58,023	$59,201	-$3,303	-5.3%	$2,192.63
5270 Make-Ready / Turnover	$77,827	$81,462	$83,696	$5,869	7.5%	$3,099.84
5280 Landscaping Contract	$92,521	$86,570	$91,086	-$1,435	-1.6%	$3,373.56
5290 Snow Removal	$53,772	$53,768	$53,795	$24	0.0%	$1,992.43
5300 Janitorial	$31,618	$30,586	$31,314	-$304	-1.0%	$1,159.78
5310 Pest Control	$29,020	$29,184	$30,907	$1,887	6.5%	$1,144.69
5320 Trash Removal	$127,464	$129,772	$136,514	$9,050	7.1%	$5,056.08
5330 Elevator Contract	$156,179	$164,646	$175,880	$19,700	12.6%	$6,514.07
5340 Fire & Life Safety	$70,999	$71,815	$72,719	$1,721	2.4%	$2,693.31
5350 Security	$120,468	$121,819	$126,618	$6,149	5.1%	$4,689.54
5360 Electricity - Common	$42,440	$43,839	$43,914	$1,474	3.5%	$1,626.43
5370 Gas - Common	$35,539	$37,635	$38,210	$2,671	7.5%	$1,415.17
5380 Water & Sewer	$53,077	$54,948	$56,983	$3,906	7.4%	$2,110.48
5390 Telephone/Internet	$118,184	$117,344	$125,392	$7,208	6.1%	$4,644.14
5400 Advertising	$67,701	$68,766	$71,210	$3,508	5.2%	$2,637.39
5410 Resident Events	$145,742	$136,682	$138,667	-$7,075	-4.9%	$5,135.83
5420 Office Supplies	$72,430	$66,819	$67,726	-$4,704	-6.5%	$2,508.37
5430 Legal & Professional	$85,894	$84,655	$87,411	$1,517	1.8%	$3,237.45
5440 Accounting & Audit	$117,751	$117,810	$125,657	$7,907	6.7%	$4,653.98
5450 Licenses & Permits	$29,826	$30,517	$32,505	$2,679	9.0%	$1,203.88
5460 Management Fee	$105,585	$104,209	$106,465	$880	0.8%	$3,943.15
5470 Property Insurance	$96,517	$103,834	$108,711	$12,194	12.6%	$4,026.33
5480 Real Estate Taxes	$55,523	$56,240	$56,276	$753	1.4%	$2,084.28
5490 Asset Management Fee	$124,505	$116,803	$117,683	-$6,822	-5.5%	$4,358.64
5500 Replacement Reserves	$117,239	$114,890	$119,352	$2,113	1.8%	$4,420.44
5510 Roof Repairs	$66,341	$62,808	$63,797	-$2,544	-3.8%	$2,362.85
5520 Parking Lot Repairs	$104,528	$96,596	$100,084	-$4,444	-4.3%	$3,706.80
5530 Signage	$99,795	$103,550	$104,839	$5,044	5.1%	$3,882.92
5540 Tenant Improvements	$110,089	$103,737	$109,489	-$600	-0.5%	$4,055.14
5550 Leasing Commissions	$125,032	$129,930	$136,450	$11,418	9.1%	$5,053.72

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Financial Analysis

Carrier-neutral meet-me room supports multiple fiber providers. Debt service coverage ratio was 7.23x on a trailing basis against a covenant minimum of 1.20x. The going-in capitalization rate of 6.42% reflects the in-place income and the stabilized occupancy assumption. Operating expenses totaled $96,000 or approximately 19.24 per square foot, with real estate taxes representing the largest line item.

Tenants are billed per kilowatt of contracted capacity with power pass-through at metered cost. Effective gross income for the trailing period was $42,000, representing a 5.3% increase over the prior year. On-site infrastructure includes diesel generators, UPS systems, CRAC units and a biometric-controlled security perimeter. Management fees are calculated at 4.7% of collected revenue and are included in operating expenses. Net operating income is projected to grow at a compound annual rate of 5.9% over the hold period.

Property Operations

Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. The facility is a purpose-built data center with 22 MW of critical IT load, N+1 power and cooling redundancy, and dual utility feeds. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Service requests are tracked through a work-order system with an average completion time of 6 hours. On-site infrastructure includes diesel generators, UPS systems, CRAC units and a biometric-controlled security perimeter.

Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Carrier-neutral meet-me room supports multiple fiber providers. The manager completes a monthly walk of the property and submits a variance report to the owner by the 45th business day. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 30 additional team members. Tenants are billed per kilowatt of contracted capacity with power pass-through at metered cost.

Financial Analysis

The going-in capitalization rate of 6.69% reflects the in-place income and the stabilized occupancy assumption. On-site infrastructure includes diesel generators, UPS systems, CRAC units and a biometric-controlled security perimeter. Operating expenses totaled $214,000 or approximately 46.59 per square foot, with real estate taxes representing the largest line item. Debt service coverage ratio was 7.24x on a trailing basis against a covenant minimum of 1.20x. Net operating income is projected to grow at a compound annual rate of 6.2% over the hold period. Tenants are billed per kilowatt of contracted capacity with power pass-through at metered cost.

The facility is a purpose-built data center with 43 MW of critical IT load, N+1 power and cooling redundancy, and dual utility feeds. Management fees are calculated at 3.4% of collected revenue and are included in operating expenses. Tenants are billed per kilowatt of contracted capacity with power pass-through at metered cost. On-site infrastructure includes diesel generators, UPS systems, CRAC units and a biometric-controlled security perimeter.

Management Commentary

Collections for the period were 94.6% of billed charges, with bad debt of 7.7% of gross potential income. The manager completes a monthly walk of the property and submits a variance report to the owner by the 43th business day. Service requests are tracked through a work-order system with an average completion time of 25 hours. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. On-site infrastructure includes diesel generators, UPS systems, CRAC units and a biometric-controlled security perimeter.

Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Service requests are tracked through a work-order system with an average completion time of 2 hours. Carrier-neutral meet-me room supports multiple fiber providers. The facility is a purpose-built data center with 41 MW of critical IT load, N+1 power and cooling redundancy, and dual utility feeds. Marketing efforts include digital listings, signage, broker outreach and a resident referral program.

Valuation Discussion

Operating expenses totaled $425,000 or approximately 14.24 per square foot, with real estate taxes representing the largest line item. Debt service coverage ratio was 7.84x on a trailing basis against a covenant minimum of 1.20x. Effective gross income for the trailing period was $68,000, representing a 7.2% increase over the prior year. Net operating income is projected to grow at a compound annual rate of 5.6% over the hold period.

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Annual Operating Budget by Account

Account	Prior Yr Actual	Prior Yr Budget	Current Budget	Variance $	Variance %	Per Unit/SF
5000 Gross Potential Rent	$42,556	$45,580	$45,678	$3,122	7.3%	$1,691.78
5010 Loss to Lease	$13,819	$14,630	$15,472	$1,653	12.0%	$573.02
5020 Vacancy Loss	$119,241	$111,879	$117,231	-$2,011	-1.7%	$4,341.89
5030 Concessions	$152,075	$162,326	$165,450	$13,375	8.8%	$6,127.77
5040 Bad Debt	$48,319	$50,808	$52,359	$4,040	8.4%	$1,939.23
5050 Late Fees	$124,333	$131,799	$134,757	$10,424	8.4%	$4,990.99
5060 Utility Reimbursements	$97,127	$94,331	$98,172	$1,046	1.1%	$3,636.01
5070 Parking Income	$15,816	$15,075	$15,090	-$726	-4.6%	$558.89
5080 Application Fees	$82,099	$87,594	$91,087	$8,989	10.9%	$3,373.60
5090 Pet Rent	$124,174	$121,444	$126,370	$2,197	1.8%	$4,680.39
5100 Laundry Income	$114,809	$118,688	$126,160	$11,351	9.9%	$4,672.59
5110 Cable/Internet Revenue	$17,008	$17,767	$18,125	$1,116	6.6%	$671.29
5120 CAM Reimbursements	$101,186	$97,266	$100,062	-$1,123	-1.1%	$3,706.01
5130 Tax Reimbursements	$16,878	$17,385	$17,847	$969	5.7%	$661.01
5140 Insurance Reimbursements	$28,271	$30,283	$30,392	$2,121	7.5%	$1,125.64
5150 Percentage Rent	$149,058	$158,916	$165,249	$16,191	10.9%	$6,120.35
5160 Misc. Income	$105,800	$106,492	$112,534	$6,734	6.4%	$4,167.94
5170 Payroll - Management	$46,690	$47,300	$47,356	$666	1.4%	$1,753.94
5180 Payroll - Leasing	$22,684	$22,431	$23,719	$1,035	4.6%	$878.47
5190 Payroll - Maintenance	$110,478	$105,136	$107,173	-$3,306	-3.0%	$3,969.36
5200 Payroll Taxes & Benefits	$23,254	$23,052	$23,330	$76	0.3%	$864.07
5210 Repairs - Plumbing	$98,540	$95,761	$102,049	$3,510	3.6%	$3,779.61
5220 Repairs - HVAC	$129,029	$121,132	$125,001	-$4,028	-3.1%	$4,629.66
5230 Repairs - Electrical	$7,163	$7,658	$8,151	$988	13.8%	$301.88
5240 Repairs - Appliances	$98,681	$94,484	$99,081	$400	0.4%	$3,669.68
5250 Painting & Decorating	$13,743	$12,920	$13,724	-$19	-0.1%	$508.31
5260 Flooring	$17,242	$16,678	$16,859	-$383	-2.2%	$624.39
5270 Make-Ready / Turnover	$40,128	$41,418	$41,958	$1,829	4.6%	$1,554.00
5280 Landscaping Contract	$84,134	$89,723	$95,214	$11,080	13.2%	$3,526.43
5290 Snow Removal	$138,610	$140,225	$141,778	$3,168	2.3%	$5,251.04
5300 Janitorial	$31,892	$32,243	$34,341	$2,449	7.7%	$1,271.89
5310 Pest Control	$69,862	$67,190	$71,828	$1,966	2.8%	$2,660.29
5320 Trash Removal	$24,816	$25,014	$26,453	$1,637	6.6%	$979.75
5330 Elevator Contract	$77,013	$77,598	$81,673	$4,659	6.0%	$3,024.91
5340 Fire & Life Safety	$80,505	$80,055	$82,022	$1,517	1.9%	$3,037.83
5350 Security	$132,503	$138,711	$140,325	$7,822	5.9%	$5,197.22
5360 Electricity - Common	$128,056	$129,699	$132,540	$4,483	3.5%	$4,908.88
5370 Gas - Common	$122,351	$122,656	$126,929	$4,577	3.7%	$4,701.06
5380 Water & Sewer	$113,162	$108,904	$112,124	-$1,038	-0.9%	$4,152.73
5390 Telephone/Internet	$109,207	$104,431	$109,791	$584	0.5%	$4,066.32
5400 Advertising	$113,409	$106,399	$109,227	-$4,182	-3.7%	$4,045.44
5410 Resident Events	$32,409	$29,832	$30,565	-$1,844	-5.7%	$1,132.05

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Operating Performance

On-site infrastructure includes diesel generators, UPS systems, CRAC units and a biometric-controlled security perimeter. Tenants are billed per kilowatt of contracted capacity with power pass-through at metered cost. Net operating income is projected to grow at a compound annual rate of 7.8% over the hold period. Management fees are calculated at 5.7% of collected revenue and are included in operating expenses.

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The facility is a purpose-built data center with 19 MW of critical IT load, N+1 power and cooling redundancy, and dual utility feeds. Tenants are billed per kilowatt of contracted capacity with power pass-through at metered cost. The going-in capitalization rate of 5.13% reflects the in-place income and the stabilized occupancy assumption. Debt service coverage ratio was 6.27x on a trailing basis against a covenant minimum of 1.20x.

Property Operations

On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 33 additional team members. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Carrier-neutral meet-me room supports multiple fiber providers. On-site infrastructure includes diesel generators, UPS systems, CRAC units and a biometric-controlled security perimeter. Marketing efforts include digital listings, signage, broker outreach and a resident referral program.

Carrier-neutral meet-me room supports multiple fiber providers. Service requests are tracked through a work-order system with an average completion time of 25 hours. The manager completes a monthly walk of the property and submits a variance report to the owner by the 12th business day. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. The facility is a purpose-built data center with 6 MW of critical IT load, N+1 power and cooling redundancy, and dual utility feeds.

Income and Expense Review

Carrier-neutral meet-me room supports multiple fiber providers. The going-in capitalization rate of 7.49% reflects the in-place income and the stabilized occupancy assumption. Tenants are billed per kilowatt of contracted capacity with power pass-through at metered cost. The facility is a purpose-built data center with 11 MW of critical IT load, N+1 power and cooling redundancy, and dual utility feeds.

The going-in capitalization rate of 5.36% reflects the in-place income and the stabilized occupancy assumption. Effective gross income for the trailing period was $420,000, representing a 10.0% increase over the prior year. Tenants are billed per kilowatt of contracted capacity with power pass-through at metered cost. Debt service coverage ratio was 7.71x on a trailing basis against a covenant minimum of 1.20x. Management fees are calculated at 3.5% of collected revenue and are included in operating expenses. Carrier-neutral meet-me room supports multiple fiber providers.

Management Commentary

Carrier-neutral meet-me room supports multiple fiber providers. Tenants are billed per kilowatt of contracted capacity with power pass-through at metered cost. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Collections for the period were 88.6% of billed charges, with bad debt of 6.5% of gross potential income. The manager completes a monthly walk of the property and submits a variance report to the owner by the 39th business day.

On-site infrastructure includes diesel generators, UPS systems, CRAC units and a biometric-controlled security perimeter. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. The manager completes a monthly walk of the property and submits a variance report to the owner by the 3th business day. Service requests are tracked through a work-order system with an average completion time of 25 hours.

Valuation Discussion

Debt service coverage ratio was 6.03x on a trailing basis against a covenant minimum of 1.20x. The going-in capitalization rate of 6.10% reflects the in-place income and the stabilized occupancy assumption. Effective gross income for the trailing period was $368,000, representing a 12.2% increase over the prior year. Management fees are calculated at 7.9% of collected revenue and are included in operating expenses. Carrier-neutral meet-me room supports multiple fiber providers. The facility is a purpose-built data center with 45 MW of critical IT load, N+1 power and cooling redundancy, and dual utility feeds.

The facility is a purpose-built data center with 38 MW of critical IT load, N+1 power and cooling redundancy, and dual utility feeds. The going-in capitalization rate of 6.47% reflects the in-place income and the stabilized occupancy assumption. Debt service coverage ratio was 7.79x on a trailing basis against a covenant minimum of 1.20x. Management fees are calculated at 7.0% of collected revenue and are included in operating expenses.

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Annual Operating Budget by Account

Account	Prior Yr Actual	Prior Yr Budget	Current Budget	Variance $	Variance %	Per Unit/SF
5320 Trash Removal	$144,050	$147,753	$148,353	$4,304	3.0%	$5,494.57
5330 Elevator Contract	$101,787	$97,894	$100,425	-$1,362	-1.3%	$3,719.44
5340 Fire & Life Safety	$119,532	$111,123	$117,203	-$2,329	-1.9%	$4,340.85
5350 Security	$38,725	$35,833	$38,028	-$697	-1.8%	$1,408.46
5360 Electricity - Common	$12,082	$11,200	$11,626	-$456	-3.8%	$430.59
5370 Gas - Common	$42,717	$45,418	$48,158	$5,441	12.7%	$1,783.62
5380 Water & Sewer	$114,937	$123,581	$129,158	$14,220	12.4%	$4,783.61
5390 Telephone/Internet	$112,484	$120,390	$122,221	$9,737	8.7%	$4,526.70
5400 Advertising	$16,207	$17,339	$17,892	$1,686	10.4%	$662.68
5410 Resident Events	$85,737	$82,981	$86,026	$290	0.3%	$3,186.16
5420 Office Supplies	$46,300	$43,112	$45,540	-$760	-1.6%	$1,686.68
5430 Legal & Professional	$18,657	$17,549	$18,073	-$584	-3.1%	$669.37
5440 Accounting & Audit	$139,881	$136,214	$141,672	$1,791	1.3%	$5,247.13
5450 Licenses & Permits	$47,897	$46,128	$46,379	-$1,518	-3.2%	$1,717.75
5460 Management Fee	$91,202	$88,721	$89,308	-$1,894	-2.1%	$3,307.70
5470 Property Insurance	$107,752	$102,867	$105,094	-$2,658	-2.5%	$3,892.38
5480 Real Estate Taxes	$102,435	$110,402	$116,547	$14,112	13.8%	$4,316.55
5490 Asset Management Fee	$121,125	$122,917	$124,364	$3,239	2.7%	$4,606.07
5500 Replacement Reserves	$46,982	$49,574	$50,362	$3,380	7.2%	$1,865.26
5510 Roof Repairs	$141,131	$150,826	$153,502	$12,371	8.8%	$5,685.25
5520 Parking Lot Repairs	$133,886	$132,936	$136,422	$2,536	1.9%	$5,052.68
5530 Signage	$60,996	$56,184	$57,325	-$3,671	-6.0%	$2,123.16
5540 Tenant Improvements	$17,110	$16,183	$16,591	-$520	-3.0%	$614.47
5550 Leasing Commissions	$126,869	$134,578	$137,614	$10,745	8.5%	$5,096.81
5000 Gross Potential Rent	$106,431	$98,101	$102,352	-$4,079	-3.8%	$3,790.81
5010 Loss to Lease	$92,479	$99,782	$105,761	$13,282	14.4%	$3,917.09
5020 Vacancy Loss	$155,910	$160,351	$164,378	$8,469	5.4%	$6,088.09
5030 Concessions	$87,485	$83,703	$87,242	-$243	-0.3%	$3,231.18
5040 Bad Debt	$94,651	$101,550	$105,190	$10,539	11.1%	$3,895.93
5050 Late Fees	$141,558	$139,698	$139,825	-$1,733	-1.2%	$5,178.71
5060 Utility Reimbursements	$153,776	$165,189	$174,281	$20,504	13.3%	$6,454.84
5070 Parking Income	$155,509	$150,969	$155,973	$464	0.3%	$5,776.78
5080 Application Fees	$77,864	$79,333	$80,489	$2,625	3.4%	$2,981.07
5090 Pet Rent	$51,901	$55,316	$57,384	$5,483	10.6%	$2,125.35
5100 Laundry Income	$105,977	$101,722	$103,634	-$2,343	-2.2%	$3,838.29
5110 Cable/Internet Revenue	$124,089	$115,486	$116,207	-$7,882	-6.4%	$4,303.96
5120 CAM Reimbursements	$98,698	$105,676	$110,514	$11,816	12.0%	$4,093.12
5130 Tax Reimbursements	$49,750	$48,073	$49,842	$92	0.2%	$1,846.01
5140 Insurance Reimbursements	$57,161	$53,394	$56,681	-$480	-0.8%	$2,099.30
5150 Percentage Rent	$125,860	$122,775	$122,907	-$2,953	-2.3%	$4,552.11

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Operating Performance

Effective gross income for the trailing period was $360,000, representing a 13.5% increase over the prior year. The going-in capitalization rate of 5.30% reflects the in-place income and the stabilized occupancy assumption. Operating expenses totaled $425,000 or approximately 24.53 per square foot, with real estate taxes representing the largest line item. Tenants are billed per kilowatt of contracted capacity with power pass-through at metered cost. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Management fees are calculated at 3.9% of collected revenue and are included in operating expenses. Tenants are billed per kilowatt of contracted capacity with power pass-through at metered cost. The going-in capitalization rate of 7.27% reflects the in-place income and the stabilized occupancy assumption. Debt service coverage ratio was 5.09x on a trailing basis against a covenant minimum of 1.20x. The facility is a purpose-built data center with 29 MW of critical IT load, N+1 power and cooling redundancy, and dual utility feeds. Net operating income is projected to grow at a compound annual rate of 3.9% over the hold period.

Management Commentary

Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Service requests are tracked through a work-order system with an average completion time of 20 hours. Collections for the period were 96.3% of billed charges, with bad debt of 4.8% of gross potential income. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 29 additional team members. Tenants are billed per kilowatt of contracted capacity with power pass-through at metered cost. Carrier-neutral meet-me room supports multiple fiber providers.

The manager completes a monthly walk of the property and submits a variance report to the owner by the 10th business day. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Carrier-neutral meet-me room supports multiple fiber providers. The facility is a purpose-built data center with 28 MW of critical IT load, N+1 power and cooling redundancy, and dual utility feeds. Service requests are tracked through a work-order system with an average completion time of 34 hours. Marketing efforts include digital listings, signage, broker outreach and a resident referral program.

Operating Performance

Management fees are calculated at 7.7% of collected revenue and are included in operating expenses. Carrier-neutral meet-me room supports multiple fiber providers. Net operating income is projected to grow at a compound annual rate of 7.8% over the hold period. Tenants are billed per kilowatt of contracted capacity with power pass-through at metered cost.

Effective gross income for the trailing period was $446,000, representing a 5.9% increase over the prior year. Operating expenses totaled $246,000 or approximately 36.87 per square foot, with real estate taxes representing the largest line item. Management fees are calculated at 4.1% of collected revenue and are included in operating expenses. The going-in capitalization rate of 7.17% reflects the in-place income and the stabilized occupancy assumption. The facility is a purpose-built data center with 46 MW of critical IT load, N+1 power and cooling redundancy, and dual utility feeds.

Management Commentary

Service requests are tracked through a work-order system with an average completion time of 42 hours. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. The facility is a purpose-built data center with 13 MW of critical IT load, N+1 power and cooling redundancy, and dual utility feeds. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 31 additional team members. Tenants are billed per kilowatt of contracted capacity with power pass-through at metered cost.

Marketing efforts include digital listings, signage, broker outreach and a resident referral program. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 18 additional team members. Collections for the period were 93.4% of billed charges, with bad debt of 3.7% of gross potential income. Carrier-neutral meet-me room supports multiple fiber providers. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period.

Operating Performance

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Carrier-neutral meet-me room supports multiple fiber providers. Management fees are calculated at 3.4% of collected revenue and are included in operating expenses. Effective gross income for the trailing period was $209,000, representing a 7.9% increase over the prior year.

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Summary and Notes

Operating Performance

The going-in capitalization rate of 5.93% reflects the in-place income and the stabilized occupancy assumption. Effective gross income for the trailing period was $435,000, representing a 9.8% increase over the prior year. Carrier-neutral meet-me room supports multiple fiber providers. On-site infrastructure includes diesel generators, UPS systems, CRAC units and a biometric-controlled security perimeter. Operating expenses totaled $233,000 or approximately 10.49 per square foot, with real estate taxes representing the largest line item. The facility is a purpose-built data center with 20 MW of critical IT load, N+1 power and cooling redundancy, and dual utility feeds.

The going-in capitalization rate of 5.89% reflects the in-place income and the stabilized occupancy assumption. Operating expenses totaled $213,000 or approximately 27.01 per square foot, with real estate taxes representing the largest line item. Management fees are calculated at 7.2% of collected revenue and are included in operating expenses. The facility is a purpose-built data center with 35 MW of critical IT load, N+1 power and cooling redundancy, and dual utility feeds.

Leasing and Marketing

Service requests are tracked through a work-order system with an average completion time of 48 hours. On-site infrastructure includes diesel generators, UPS systems, CRAC units and a biometric-controlled security perimeter. The manager completes a monthly walk of the property and submits a variance report to the owner by the 32th business day. Carrier-neutral meet-me room supports multiple fiber providers.

The manager completes a monthly walk of the property and submits a variance report to the owner by the 32th business day. Carrier-neutral meet-me room supports multiple fiber providers. Collections for the period were 96.1% of billed charges, with bad debt of 7.2% of gross potential income. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period.

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